

# CHICO AVENUE PORTFOLIO

36 apartment units across two properties on the Esplanade in  
downtown Chico, California

Confidential Offering | September 2026



**BIDWELL**CAPITAL



# The next 30 minutes

## 1 The opportunity

Two properties from an estate, about \$111K a door on the Esplanade in downtown Chico.

## 2 How we invest

Cash flow first, and why consistent returns beat volatile ones.

## 3 The market and the plan

Why Chico, what we did at 946 Cherry, the playbook, and each building.

## 4 The numbers

Cash flow, the Year 4 - 5 refinances, the tax treatment, and the inflation backdrop.

## 6 Terms and Q&A

Structure, fees, next steps, and your questions.

# Buying below replacement cost

**\$2.2M**

target raise

**36**

units across 2 properties

**~\$111K**

per door, net of credits

**8.2%**

stabilized yield on total project cost

We are acquiring two properties on the Esplanade from an estate in downtown Chico - the 12-unit Palm Manor at 1017 and the 24-unit Royal Arms at 1120 - each in its own escrow.

We started with four buildings and kept the two that pencil, releasing the rest in diligence and negotiating \$229K of seller repair credits on the two we kept. Each escrow stands alone; if a property does not close, the raise shrinks with it.

## The setup

- Estate sale - sellers want liquidity
- Separate escrows, individually cancelable
- Targeting an October 2026 close
- Market cap rates 6% - 6.5% for stabilized product



# How we invest

*Cash flow first, with a long-term mindset*



BIDWELLCAPITAL

# How we invest

Cash flow first, with a long-term mindset.

Wealth is built through productive assets, patient ownership, and relationships developed over time.

We prefer assets that pay along the way, not just at exit, and we underwrite to conservative market norms.

After-tax returns get the same attention as price.

We are the operator, not just the sponsor. Rent collection, maintenance, and turns are done in-house, and that is where the margin comes from.

- Cash flow over speculation - income today is the foundation
- Capital protection - conservative assumptions, stress-tested cases
- Stewardship - investor capital is a relationship, not a transaction

## Bidwell Capital Overview

110+

investors across real estate, energy, and private credit

\$14M+

invested to date across our offerings

*Patience matters. We wait for the right opportunities, with the right partners, at the right structure.*

# Consistency is key

| 11% Average, but Volatile |        |            |      |        |            |      |        |              |
|---------------------------|--------|------------|------|--------|------------|------|--------|--------------|
| Year                      | Return | Value      | Year | Return | Value      | Year | Return | Value        |
| 1                         | 30%    | \$ 130,000 | 11   | 30%    | \$ 311,157 | 21   | 30%    | \$ 744,761   |
| 2                         | 20%    | \$ 156,000 | 12   | 20%    | \$ 373,389 | 22   | 20%    | \$ 893,713   |
| 3                         | 20%    | \$ 187,200 | 13   | 20%    | \$ 448,067 | 23   | 20%    | \$ 1,072,456 |
| 4                         | -25%   | \$ 140,400 | 14   | -25%   | \$ 336,050 | 24   | -25%   | \$ 804,342   |
| 5                         | 25%    | \$ 175,500 | 15   | 25%    | \$ 420,062 | 25   | 25%    | \$ 1,005,427 |
| 6                         | 10%    | \$ 193,050 | 16   | 10%    | \$ 462,069 | 26   | 10%    | \$ 1,105,970 |
| 7                         | 15%    | \$ 222,008 | 17   | 15%    | \$ 531,379 | 27   | 15%    | \$ 1,271,865 |
| 8                         | -25%   | \$ 166,506 | 18   | -25%   | \$ 398,534 | 28   | -25%   | \$ 953,899   |
| 9                         | 15%    | \$ 191,481 | 19   | 15%    | \$ 458,314 | 29   | 15%    | \$ 1,096,984 |
| 10                        | 25%    | \$ 239,352 | 20   | 25%    | \$ 572,893 | 30   | 25%    | \$ 1,371,230 |

| Steady 11%, Every Year |             |
|------------------------|-------------|
| Year                   | Value       |
| 1                      | \$111,000   |
| 30                     | \$2,289,230 |

# The playbook, in order

## 1 Buy below retail

Separate escrows allow us to buy one or all buildings.  
We have a set walk-away prices on every building.

## 2 Reset operations day one

Insurance, landscaping, and pest re-bid across the portfolio. Self-managed, no third-party markups.

## 3 Turn units to market

In-house crews renovate at an estimated \$15K - \$17K per unit. Rents reset to market at turnover. Prove the ceiling on a handful of units before spending the full rehab budget.

*Renovations include new LVP, new counters, upgraded plumbing and electrical fixtures, and new cabinet doors*

## 4 Refinance or move up

Year 5 proforma shows we can refinance at 65% of stabilized value to return roughly half of investor capital while the buildings are retained.

Alternatively, we can 1031 into a larger asset to grow return on equity.

# Why now

Diesel is the cost input for everything that moves - farming, freight, construction. Global diesel prices have jumped sharply this year. It works into everything else over 12-24 months.

We expect that to read as inflation. Hard assets bought below replacement cost are the standard defense: construction costs rise first, and that raises the floor under existing buildings.

Apartment rents historically track inflation with a lag.

- Buy below replacement cost now, before the cost side moves
- Lock five-year fixed-rate debt at today's quoted terms
- Underwrite today's rents and treat inflation as upside only

## THE SETUP

# ~\$111K

our basis per door, below what new construction costs

# 6.6%

quoted five-year fixed-rate debt. Payments are locked while rents are free to track inflation

*We are not underwriting inflation. Base rents come from today's comp set. This is the tailwind behind the plan, not a requirement of it.*



# The deal

*Two properties, one operation, below replacement cost*



BIDWELLCAPITAL

# Why downtown Chico

## 1 Downtown Supply is capped

Almost no new small-multifamily construction downtown.

## 2 Priced below replacement cost

At about \$111K per door, the basis sits well below what it costs to build an apartment in today's market.

## 3 Turnover drives the rents

Long-held buildings sit below market. Rents reset at turnover.  
Units are in original condition and rehabs will be done to test premium rents.

### THE SPREAD

# 8.2%

stabilized NOI on total project cost - price, renovation, fees, closing, reserves

vs

# 6% - 6.5%

where stabilized buildings trade today.

# 946 Cherry St: year one

20 studio units bought August 2025 for \$1.46M, about ten blocks away. Similar tenant base, same crews.

**99.2%**

trailing-12 occupancy (July closed at 100%)

**+54%**

trailing-3-month NOI, annualized:  
\$149,445 vs \$96,867 plan

**\$805**

average rent per unit, up 15.7% since  
acquisition

**\$360**

total delinquency across 20 units

Full-year T-12 NOI was \$130,165, 34% ahead of plan. Expenses ran 11% under plan. Both August turns were pre-leased before the units went vacant. Rents were pushed with almost no renovation - operations did the work: RUBS from day one, in-house W-2 crews for maintenance and turns, and leases re-set to market at every turnover.

**This offering applies a similar playbook to 26 more units nearby.**

# Two properties, one operation

## 1017 Esplanade

- 12 units, built 1973
- \$1,450,000 - contract price
  - \$75,000 seller credit at closing
- In-place rents \$1,171 avg vs \$1,417 market
- NOI \$104K today, \$134K stabilized

*Cleanest inspection file in the portfolio*

## Royal Arms - 1120 Esplanade

- 24 units: 13 one-bed, 10 two-bed, 1 three-bed
- \$2,760,000 - contract price
  - \$154,000 seller credit at closing
- In-place rents \$1,053 avg vs \$1,250 - \$1,650 targets
- NOI \$179K today, \$245K stabilized

*On-site manager expense goes away day one*

## Combined

- 36 units, two separate escrows
- \$3.98M net basis - \$111K per door
  - \$2.23M equity, \$2.67M debt
- NOI \$283K today, \$383K stabilized

*12.6% blended 10-year LP IRR*



# Royal Arms, up close



1120 Esplanade - 24 units on the Esplanade, one block from 1017.

Imagery: Google Maps, 2024. Current photography to follow inspection.



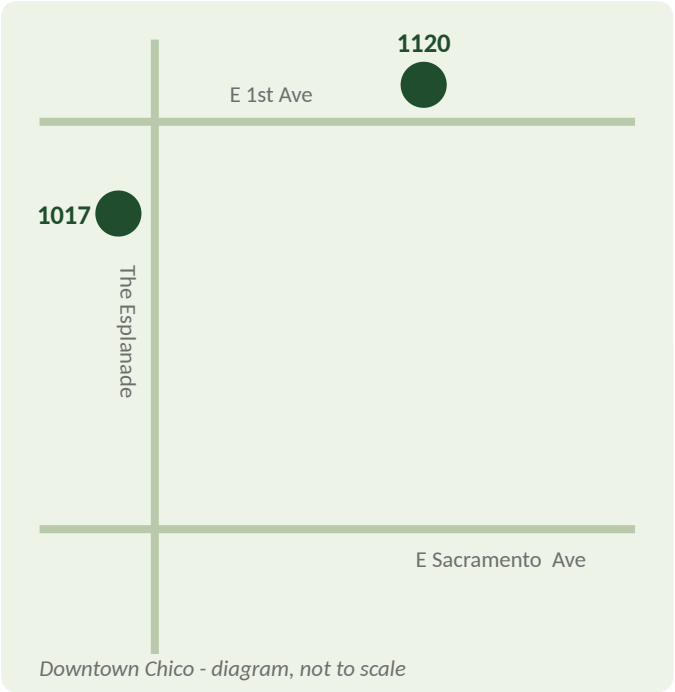
Pool courtyard. On-site manager unit converts to standard operations day one.



# At a glance



1017 Esplanade, July 2026.



## Combined unit mix

| Type        | Units |
|-------------|-------|
| Studio      | 1     |
| 1 BR / 1 BA | 14    |
| 2 BR / 1 BA | 10    |
| 2 BR / 2 BA | 10    |
| 3 BR / 2 BA | 1     |
| Total       | 36    |

In-place rents average \$1,053 - \$1,171 by building against appraiser market rents of \$1,250 - \$1,417 (Integra Realty Resources, June 2026) and reposition targets of \$1,250 - \$1,650. Detail on the comps page.

# Where the value comes from

Combined, the two properties earn about \$283K of NOI today. The plan takes that to about \$383K stabilized:

|                                    |                                                                                                                                                                                    |
|------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Rents to market at turnover</b> | \$1,053 - \$1,171 in place vs \$1,250 - \$1,650 targets. Turnover resets do most of the work before renovation premiums.                                                           |
| <b>RUBS and utility recovery</b>   | Most leases already pay a \$50 utility fee; we standardize billing across all 36 units and redirect the \$35 resident-benefit fee that now goes to a third-party screening vendor. |
| <b>Expense reset</b>               | Reassessed taxes are modeled, insurance re-quoted from the seller's surplus-lines pricing, services re-bid.                                                                        |
| <b>Renovation premium</b>          | Estimated \$15K - \$17K per unit interiors, proven on a test group first. Modeled rents stay below what we believe fully renovated units can achieve.                              |



# The numbers

*Cash flow builds, then capital comes back*



BIDWELLCAPITAL





## BASE CASE

# Cash flow builds, then capital comes back

## 12.6%

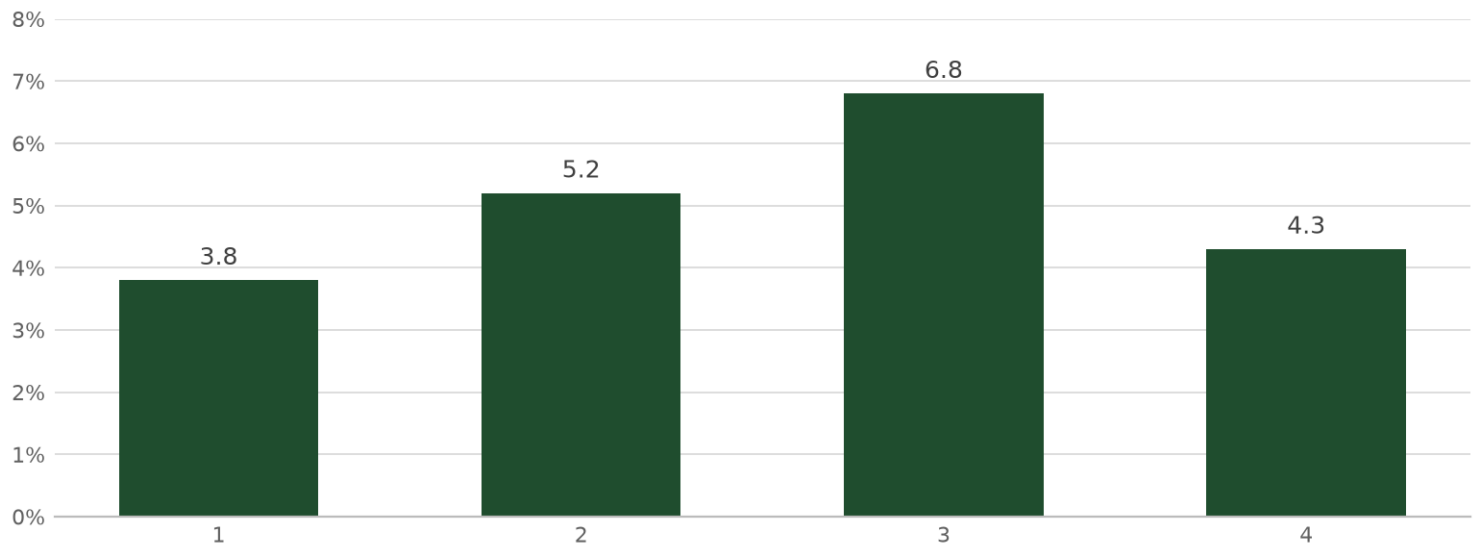
blended 10-year LP IRR on base assumptions, net of all fees

## ~54%

of capital modeled back by the Year 5 refi

## \$5.21M

total modeled distributions on \$2.23M invested



Quarterly distributions. Years 6 - 8 run 4.4% - 5.4% on original equity after the Year 4 and Year 5 refinances return roughly half of capital; year 9 models second refinances. Sale at the end of year 10 at a 6.5% cap and 4% cost of sale puts the modeled multiple at 2.3x. Debt is modeled at the quoted 6.5% - 6.6%, five years interest-only on Royal Arms and 12 months on 1017.



# Rent and value references

## Rents

| Property                    | In place (avg) | Market (appraiser)     |
|-----------------------------|----------------|------------------------|
| 1017 Esplanade              | \$1,171        | \$1,417                |
| Royal Arms (1120 Esplanade) | \$1,053        | \$1,250 - \$1,650      |
| Combined (36 units)         | \$1,092        | \$1,354 target average |

*In-place rents: seller rent rolls, August 2026. Market rents: Integra Realty Resources appraisals, June 2026. Stabilized rents follow the September 2026 comp set; 1017's 2/2 target assumes the budgeted in-unit laundry additions.*

## Value references

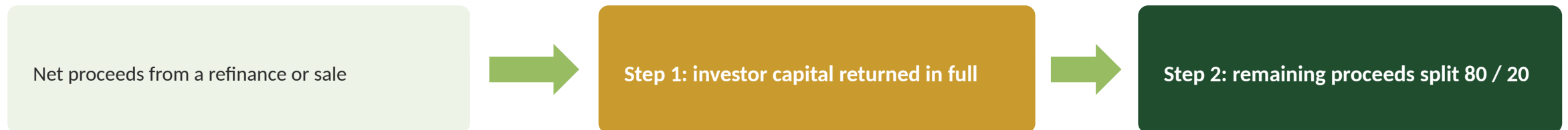
- Contract basis: 1017 \$1.45M, Royal Arms \$2.76M, less \$229K in seller repair credits
- Combined net basis of \$3.98M, about \$111K per door, well below replacement cost
- Sale-comp detail sits in the appraisals; a current broker sales package is available on request

# How money flows

## Operating distributions (quarterly)



## Capital events (refinance or sale)



*Cash-on-cash figures elsewhere are measured against full original equity, even after the Year 5 refinance returns roughly half of it. Fees are separate from these splits and are listed on the Terms page.*

# K-1 real estate, front-loaded

An engineering-based cost segregation study reclassifies a large share of the purchase into 5- and 15-year property, and bonus depreciation lets much of it deduct in year one. The result is a large paper loss in the first year while cash distributions are just beginning.

Losses are passive and can offset other passive income. Depreciation recapture applies at sale. Outcomes depend on your situation - confirm with your CPA. We provide the cost segregation study and annual K-1s.

| Year | Cash yield (modeled) | Taxable-equivalent at 35% |
|------|----------------------|---------------------------|
| 1    | 2.9%                 | ~4.5%                     |
| 2    | 4.9%                 | ~7.5%                     |
| 3    | 6.5%                 | ~10.0%                    |
| 4    | 5.7%                 | ~8.8%                     |

Assumes distributions fully sheltered by depreciation, at a 35% marginal rate. Illustrative only - not tax advice.

ILLUSTRATIVE EXAMPLE

\$100,000

invested in the offering

\$40K - \$50K

potential first-year K-1 loss from cost segregation and bonus depreciation, while quarterly distributions begin

Illustrative only. Actual figures come from the study and your allocation. Not tax advice.



# What the base case already absorbs

## Modest rents

Target rents are not assumed until year 3, and sit at or below leases we signed this month - \$1,250 modeled on a 1-bedroom that just leased at \$1,350 around the corner. If inflation runs the way we expect, these read as conservative.

## 7% economic vacancy

Modeled vacancy plus concessions, every year of the hold. Our existing Chico portfolio runs near 1%; a realistic range is 2 - 4%.

## 6.6% debt, 65% LTV

If lenders size at 55 - 60%, returns hold within about a point and the raise grows modestly. Quotes are in process with five lenders.

## All fees modeled

5.5% property management and 1% asset management are charged to the deal and fully reflected in every return shown.

# Smaller portfolio, tougher assumptions

## If the portfolio shrinks

| Scenario              | Units | Equity  | 10-yr LP IRR |
|-----------------------|-------|---------|--------------|
| Both properties close | 36    | \$2.23M | 12.6%        |
| Royal Arms only       | 24    | \$1.50M | 12.6%        |
| 1017 only             | 12    | \$0.72M | 12.6%        |

*Each escrow stands alone, so a released property removes its equity and its returns without touching the other.*

## Downside sensitivity

| One variable at a time         | Blended IRR |
|--------------------------------|-------------|
| Base case                      | 12.6%       |
| Exit and refi cap 6.5% to 7.0% | 11.4%       |
| Refinance leverage 65% to 55%  | 12.0%       |
| Royal Arms rate 6.5% to 7.0%   | 12.4%       |

*Run in the underwriting models, September 2026, holding all other assumptions at base case.*

A combined downside would land lower; combined runs are available in the model.

# Sources and uses

|                                 | 1017 Esplanade     | Royal Arms         | Combined           |
|---------------------------------|--------------------|--------------------|--------------------|
| Purchase price (net of credits) | \$1,375,000        | \$2,606,000        | \$3,981,000        |
| Renovation                      | \$225,000          | \$371,886          | \$596,886          |
| Closing costs & reserves        | \$69,106           | \$168,201          | \$237,307          |
| Acquisition fee (2%)            | \$29,000           | \$55,200           | \$84,200           |
| <b>Total uses</b>               | <b>\$1,698,106</b> | <b>\$3,201,287</b> | <b>\$4,899,393</b> |
| Loan                            | \$975,000          | \$1,696,500        | \$2,671,500        |
| <b>Investor equity</b>          | <b>\$723,106</b>   | <b>\$1,504,787</b> | <b>\$2,227,893</b> |

Both properties at contract prices net of seller repair credits (\$75K on 1017, \$154K on Royal Arms). 1017 loan per the Five Star Bank expression of interest at 6.6% fixed; Royal Arms loan modeled at 65% of net price at 6.5%, term sheet pending. Renovation budgets and reserves per the underwriting models, September 2026.

# Close to capital return



Escrow reality check: the original four-building estate portfolio was cut to the two that pencil. 180 and 193 E 1st were released in diligence, and the two we kept carry \$229K of seller repair credits.



# Terms and next steps

*Straight 80/20. Quarterly distributions. \$100K minimum.*



# Terms

## SPLIT

80% of distributable cash flow to investors, 20% to the sponsor. Sponsor participation grows only as investor distributions grow.

## FEES

2% acquisition fee at closing. 5.5% property management on collections.  
1% asset management on revenues.

## MINIMUM

\$100,000. Rule 506(b) - existing relationships only.

## CAPITAL FIRST

On a sale or refinance, investor capital is returned in full before remaining proceeds are split 80/20.

## DISTRIBUTIONS

Quarterly, beginning once operations support them.

## SPONSOR ALIGNMENT

Adam invests alongside investors and personally guarantees the loan where the lender requires recourse; non-recourse options are also being quoted. Returns shown are net of the fees above.

# What can go wrong

## Execution

The return is manufactured through turns and operations. Slow lease-up or renovation overruns push the timeline right.

## Repricing

If sellers hold ask on the two overpriced buildings, we release them and the offering shrinks.

## Market

Chico rents softened from their 2024 peak; the base case uses today's rents. City sewer rates step up sharply starting late 2026; we are confirming each building's billing and will recover increases through unit utility billing where leases allow.

## Financing

Lender sizing is not final. Conservative sizing raises the equity need and trims early cash-on-cash.

## Year 1 cash flow

Roughly 2.9% cash-on-cash in year one while units turn. This is not a current-income vehicle in its first year.

## Illiquidity

Private real estate. No redemption right. Plan on holding for 5+ years.

## NEXT STEPS

# Three steps to invest

1

### Talk with Adam

A call to walk the model, the buildings, and the escrow status. 506(b) requires a pre-existing substantive relationship.

2

### Review documents

Offering documents and the full underwriting file, including the per-building pro formas and inspection reports.

3

### Reserve and fund

Soft commitments now; capital is called for the buildings that actually close, at the prices they actually close at.

Adam Penn | (530) 520-7331 | [team@bidwellcapitalfund.com](mailto:team@bidwellcapitalfund.com) | [bidwellcapital.invportal.com](https://bidwellcapital.invportal.com)